remain the only bond for a fake country to be issued on the London Stock Exchange.

As with all Ponzi finance, the South American loan bubble had to burst, which it did in 1826. Every newly founded South American country defaulted on its debt, except for Brazil, in what has become known as “The First Latin American Debt Crisis.”[8] Not only would this bubble hurt European investors, it would hurt South America for decades to come, arguably even to the present as the region has been marred by continued defaults. For example, Chile, Colombia, and Peru have spent 27.5 percent, 36.2 percent, and 40.2 percent of their sovereign lives in default or rescheduling, never quite able to escape the early precedent that was set.[9]

The Bitcoin Ponzi Myth

Criticisms of bitcoin and cryptoassets being Ponzi schemes have been circulating since bitcoin first hit investors’ radar screens.[10] However, this criticism is deeply misinformed, and the World Bank has joined us in this opinion. In a 2014 report it states:

> Contrary to a widely-held opinion, Bitcoin is not a deliberate Ponzi. And there is little to learn by treating it as such. The main value of Bitcoin may, in retrospect, turn out to be the lessons it offers to central banks on the prospects of electronic currency, and on how to enhance efficiency and cut transactions cost.[11]

Historical Ponzi schemes require a central authority to hide the facts and promise a certain annual percent return. Bitcoin has neither. The system is decentralized, and the facts are out in